Zhen Ding Technology Holding (4958.TW)

High margin new businesses have started to ramp up, pointing to significant GM expansion in coming years; Buy

4958.TW	12m Price Target: **NT$1,070.00**	Price: **NT$430.50**	Upside: **148.5%**

ZDT 3Q26 core business (OPI) was 10%/11% higher than GSe and BBG consensus, mainly thanks to the better than expected product mix (high margin & high growth sectors accounted for 27% of total revenue in 3Q26 vs. our estimate only at 20-25%). In 3Q26, ZDT GM was 1.8/2.6ppt higher than GSe/BBG consensus, and was 27.7% up 4.6ppt QoQ and 5.7ppt YoY, while the annual growth was only driven by the better product mix/ new business contribution (ABF/optical module/AI PCB), even considering these new businesses only accounted for 27% of total revenue.

OPEX in 3Q26 increased 24% QoQ and 56% YoY due mainly to the higher investment in the R&D projects for future new high-end AI PCB/ optical transceiver / substrates business, which was the main reason for the company to see a 0.7/1.4ppt higher than GSe/BBG consensus OPEX to sales ratio in 3Q26.

In 4Q26, we expect ZDT revenue to go up by ~29% QoQ, mainly due to the solid growth from the optical transceiver, substrates, and AI PCB businesses, with more new AI projects to ramp in 4Q26. Moreover, we expect the company's GM to further expand to ~30% (2.2ppt QoQ or 7.3ppt YoY) thanks to a better product mix (we expect high growth/high margin new business will account for 30-35% of the company's total revenue in 4Q26, whose average GM should be at least 40-45% in 4Q26).

Investment view

We remain positive on ZDT's AI business outlook, and expect the acceleration on ZDT's AI PCB/Substrates business revenue to further drive the company's overall GM level in coming years (we expect the two businesses' average GM could surpass 50% in 2027, thanks to the favorable supply demand condition) while we also expect the high GM optical transceiver (50%+ GM now) will also see at least 120% YoY growth in 2027, suggesting a significant GM expansion trend for the overall company in coming quarters/years.

BUY

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Key Data

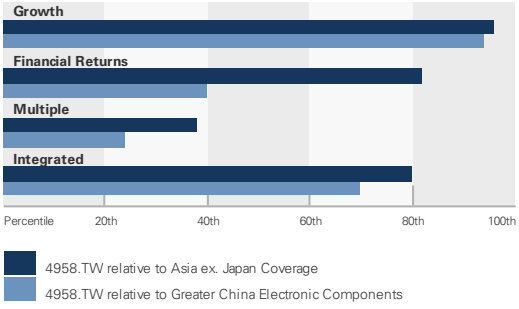
Market cap: NT$460.9bn / $14.0bn
Enterprise value: NT$539.3bn / $16.4bn
3m ADTV: NT$16.1bn / $501.8mn
Taiwan
Greater China Electronic Components
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**182,521.6**	**237,099.1**	**382,886.1**	**589,552.1**
Revenue (NT$ mn) Old	182,521.6	227,974.9	372,588.9	587,633.6
EBITDA (NT$ mn)	32,484.0	49,472.9	98,030.2	200,717.5
EPS (NT$) New	**6.91**	**15.18**	**40.55**	**93.64**
EPS (NT$) Old	6.91	14.56	34.35	67.64
P/E (X)	18.6	28.4	10.6	4.6
P/B (X)	0.8	2.6	2.1	1.5
Dividend yield (%)	2.7	1.8	4.7	10.9
CROCI (%)	12.0	15.6	23.9	40.5

	9/26	12/26E	3/27E	6/27E
EPS (NT$)	4.02	7.63	6.75	8.06

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

Zhen Ding Technology Holding (4958.TW)

Rating since Apr 29, 2025

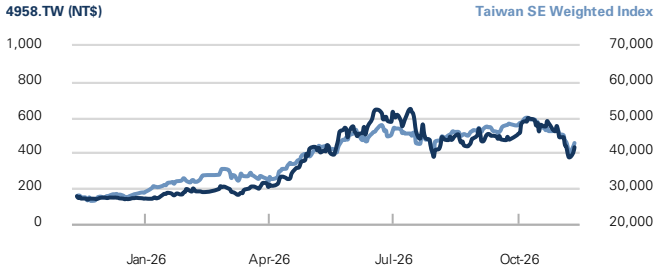
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	18.6	28.4	10.6	4.6
P/B (X)	0.8	2.6	2.1	1.5
FCF yield (%)	(3.2)	(7.5)	0.7	15.4
EV/EBITDAR (X)	4.7	11.2	5.9	2.8
EV/EBITDA (excl. leases) (X)	4.7	11.2	5.9	2.8
CROCI (%)	12.0	15.6	23.9	40.5
ROE (%)	5.8	13.1	31.5	57.8
Net debt/equity (%)	(11.6)	12.7	12.4	(12.7)
Net debt/equity (excl. leases) (%)	(12.2)	12.1	11.9	(13.0)
Interest cover (X)	6.7	14.3	37.9	88.8
Days inventory outst, sales	37.6	32.0	24.5	21.3
Receivable days	63.6	56.4	50.2	50.3
Days payable outstanding	56.4	53.6	48.7	50.8
DuPont ROE (%)	4.0	9.0	19.9	32.3
Turnover (X)	0.7	0.8	1.0	1.1
Leverage (X)	1.6	1.6	1.6	1.6
Gross cash invested (ex cash) (NT$)	254,306.9	335,399.6	404,643.4	456,481.4
Average capital employed (NT$)	139,052.4	179,780.7	232,649.0	268,709.0
BVPS (NT$)	159.46	168.50	204.24	289.63

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	6.3	29.9	61.5	54.0
EBITDA growth	10.7	52.3	98.1	104.8
EPS growth	(28.6)	119.7	167.1	130.9
DPS growth	(28.1)	120.0	167.1	130.9
EBIT margin	7.6	11.9	19.5	29.7
EBITDA margin	17.8	20.9	25.6	34.0
Net income margin	3.7	7.1	11.8	17.8

Price Performance



	3m	6m	12m
Absolute	(8.5)%	7.4%	176.8%
Rel. to the Taiwan SE Weighted Index	(3.8)%	4.6%	80.6%

Source: FactSet. Price as of 10 Nov 2026 close.

Income Statement (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	182,521.6	237,099.1	382,886.1	589,552.1
Cost of goods sold	(146,385.2)	(174,252.7)	(256,273.6)	(341,087.6)
SG&A	(10,397.7)	(15,000.2)	(21,310.4)	(27,985.5)
R&D	(11,807.1)	(19,634.8)	(30,610.5)	(45,384.6)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**32,484.0**	**49,472.9**	**98,030.2**	**200,717.5**
Depreciation & amortization	(18,552.5)	(21,261.6)	(23,338.5)	(25,623.2)
EBIT	**13,931.6**	**28,211.4**	**74,691.7**	**175,094.3**
Net interest inc./(exp.)	374.4	222.5	(1,118.9)	(1,259.2)
Income/(loss) from associates	(16.7)	–	–	–
Pre-tax profit	**14,062.7**	**29,586.6**	**75,991.7**	**175,544.3**
Provision for taxes	(3,457.6)	(4,801.6)	(11,959.3)	(27,683.7)
Minority interest	(3,814.6)	(7,934.0)	(18,684.8)	(43,135.0)
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**6,790.5**	**16,851.0**	**45,347.5**	**104,725.6**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**6,790.5**	**16,851.0**	**45,347.5**	**104,725.6**
EPS (basic, pre-except) (NT$)	**6.91**	**15.18**	**40.55**	**93.64**
EPS (diluted, pre-except) (NT$)	**6.91**	**15.18**	**40.55**	**93.64**
EPS (basic, post-except) (NT$)	**6.91**	**15.18**	**40.55**	**93.64**
EPS (diluted, post-except) (NT$)	**6.91**	**15.18**	**40.55**	**93.64**
DPS (NT$)	3.45	7.59	20.27	46.82
Div. payout ratio (%)	49.9	50.0	50.0	50.0

Balance Sheet (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	71,116.4	27,644.7	23,098.0	92,381.0
Accounts receivable	32,616.6	40,643.1	64,584.7	97,829.6
Inventory	19,616.3	21,905.1	29,489.0	39,248.4
Other current assets	4,291.9	4,291.9	4,291.9	4,291.9
Total current assets	**127,641.1**	**94,484.7**	**121,463.6**	**233,750.9**
Net PP&E	123,736.8	182,967.2	225,120.5	251,989.3
Net intangibles	2,709.7	2,217.8	1,725.9	1,234.0
Total investments	9,865.7	9,865.7	9,865.7	9,865.7
Other long-term assets	16,089.7	16,089.7	16,089.7	16,089.7
Total assets	**280,043.0**	**305,625.1**	**374,265.3**	**512,929.5**
Accounts payable	23,501.3	27,689.5	40,722.9	54,200.2
Short-term debt	23,839.0	23,839.0	23,839.0	23,839.0
Short-term lease liabilities	246.9	246.9	246.9	246.9
Other current liabilities	25,234.0	30,268.3	44,516.6	74,205.7
Total current liabilities	**72,821.2**	**82,043.7**	**109,325.4**	**152,491.8**
Long-term debt	26,429.8	26,429.8	26,429.8	26,429.8
Long-term lease liabilities	872.6	872.6	872.6	872.6
Other long-term liabilities	9,206.8	9,206.8	9,206.8	9,206.8
Total long-term liabilities	**36,509.2**	**36,509.2**	**36,509.2**	**36,509.2**
Total liabilities	**109,330.4**	**118,552.9**	**145,834.6**	**189,001.0**
Preferred shares	–	–	–	–
Total common equity	123,981.6	132,407.1	155,080.8	207,443.6
Minority interest	**46,731.1**	**54,665.1**	**73,349.9**	**116,484.9**
Total liabilities & equity	**280,043.0**	**305,625.1**	**374,265.3**	**512,929.5**
Net debt, adjusted	(20,847.5)	22,624.2	27,170.9	(42,112.1)

Cash Flow (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	6,790.5	16,851.0	45,347.5	104,725.6
D&A add-back	18,552.5	21,261.6	23,338.5	25,623.2
Minority interest add-back	3,814.6	7,934.0	18,684.8	43,135.0
Net (inc)/dec working capital	(1,212.1)	(6,127.1)	(18,492.1)	(29,527.0)
Other operating cash flow	(329.0)	–	–	–
Cash flow from operations	**27,616.5**	**39,919.5**	**68,878.8**	**143,956.7**
Capital expenditures	(33,083.4)	(80,000.0)	(65,000.0)	(52,000.0)
Acquisitions	–	–	–	–
Divestitures	–	–	–	–
Others	1,123.4	–	–	–
Cash flow from investing	**(31,960.0)**	**(80,000.0)**	**(65,000.0)**	**(52,000.0)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(7,221.4)	(3,391.2)	(8,425.5)	(22,673.8)
Inc/(dec) in debt	5,509.8	–	–	–
Other financing cash flows	(2,330.6)	0.0	0.0	0.0
Cash flow from financing	**(4,042.2)**	**(3,391.2)**	**(8,425.5)**	**(22,673.8)**
Total cash flow	**(8,385.6)**	**(43,471.7)**	**(4,546.7)**	**69,283.0**
Free cash flow	(5,466.9)	(40,080.5)	3,878.8	91,956.7

Source: Company data, Goldman Sachs Research estimates.

We believe ZDT will continue to be the key share gainer in the AI PCB market. For AI GPU projects, we are seeing ZDT share increase from <5% in 2025 to ~10-15% in 2026, which, we believe, will further go up to 30%+ in long term (2028 and beyond), thanks to the company's proactive investment in the R&D on the latest PCB technology, as well as the company's solid investment in the AI grade PCB capacity. For AI ASIC projects, the company's market share is well below 10% for now, and only focus on some minor projects, but we do expect the company to become one of the major suppliers for AI ASIC projects in coming years, considering the company's more diversified production sites (mainland China + Taiwan + Thailand), while most of the AI ASIC customers are asking for non-Greater China capacity now.

For the optical transceiver business, we expect ZDT to see strong growth (50%+ 2025-29E CAGR), driven mainly by the ~50% 2026-28E volume demand CAGR and the company's proactive expansion in capacity in coming years (5x more capacity over the next two years). Moreover, ZDT currently holds an industry-leading yield of 90%+ for its optical module mSAP products (vs. peers only at 60-80% per our industry checks).

For its ABF substrate business, we believe the company will continue to have the ability to increase ABF price, supported by full UTR and strong demand, while the industry in our view remains conservative on its capacity expansion plans over the next 1-2 years relative to our forecasts. We expect ABF substrate LTA/Spot prices to increase by 10-15%/20%+ QoQ per quarter from 3Q26 through at least the end of 2027, with shortages likely extending into 2028 (see here). Overall, the business condition for ABF substrate is improving with price increase and we expect the business, which was loss making in 2025, to expand its GM to 40%+/50%+ by end of 2026/27.

Overall, we reiterate our Buy rating on ZDT, with a new 12m TP of NT$1,070 (from NT$1,025).

Exhibit 1: ZDT's 3Q26 earnings comp table

ZDT (4958.TW)	3Q26			QoQ		YoY		Bloomberg consensus	
P&L (NT$mn)	Actual	GS est.	Diff (%)	2Q26	QoQ	3Q25	YoY	Consensus	%
Revenue	64,624	64,324	0%	48,431	33%	47,366	36%	63,943	1%
Gross profits	17,913	16,700	7%	11,186	60%	10,410	72%	16,080	11%
Operating profits	8,717	7,952	10%	3,761	132%	4,530	92%	7,866	11%
Pre-tax income	8,026	8,452	-5%	4,931	63%	4,661	72%	8,118	-1%
Net earnings	4,496	5,071	-11%	2,392	88%	2,392	88%	4,865	-8%
EPS, NT$	4.02	4.65	-14%	2.19	83%	2.46	64%	4.28	-6%
Gross margin (%)	27.7%	26.0%	1.8ppt	23.1%	4.6ppt	22.0%	5.7ppt	25.1%	2.6ppt
EBIT margin (%)	13.5%	12.4%	1.1ppt	7.8%	5.7ppt	9.6%	3.9ppt	12.3%	1.2ppt
Net margin (%)	7.0%	7.9%	-0.9ppt	4.9%	2.0ppt	5.0%	1.9ppt	7.6%	-0.7ppt

Source: Company data, Bloomberg, Goldman Sachs Global Investment Research

Earnings revisions

We revise up our 2026/27/28/29E net income estimate by 6/21/42/49% after seeing the solid GM expansion from these high-growth sectors, which we believe will continue to be the net income driver in the coming years. We believe the high growth sectors (AI PCB, substrates, optical module mSAP) will account for 50%+ of total revenue in 2028 and further expand to 60%+ in 2029, with a much higher than company average GM (50%+ in average in 2027-28), thus we revise up our 2027/28/29E GM by 5.4/10.7/12.4ppt vs. previous estimate.

Exhibit 2: Earnings revision table

ZD Tech P&L (NT$ mn)	2026E New	2026E Old	Diff.	2027E New	2027E Old	Diff.	2028E New	2028E Old	Diff.	2029E New	2029E Old	Diff.
Sales	237,099	227,975	4%	382,886	372,589	3%	589,552	587,634	0%	824,114	787,166	5%
Gross Profit	62,846	56,384	11%	126,613	102,934	23%	248,464	184,748	34%	381,332	266,597	43%
EBIT	28,211	24,815	14%	74,692	61,432	22%	175,094	123,072	42%	282,082	188,847	49%
Net Income	16,851	15,847	6%	45,348	37,446	21%	104,726	73,732	42%	168,581	112,959	49%
EPS (NT$)	**15.18**	**14.56**	**4%**	**40.55**	**34.35**	**18%**	**93.64**	**67.64**	**38%**	**150.73**	**103.63**	**45%**
Ratio analysis												
Gross margin	26.5%	24.7%	1.8pp	33.1%	27.6%	5.4pp	42.1%	31.4%	10.7pp	46.3%	33.9%	12.4pp
EBIT margin	11.9%	10.9%	1.0pp	19.5%	16.5%	3.0pp	29.7%	20.9%	8.8pp	34.2%	24.0%	10.2pp
Net margin	7.1%	7.0%	0.2pp	11.8%	10.1%	1.8pp	17.8%	12.5%	5.2pp	20.5%	14.4%	6.1pp

Source: Goldman Sachs Global Investment Research

Valuation

We revise up ZDT 12m TP from NT$1,025 to NT$1,070, still based on our SOTP based valuation methodology of (1) 3.5x blended P/B for ABF & BT substrate (in-line with upcycle industry average), (2) 15x P/E for high-growth AI server/switch related PCB (in line with industry average), and (3) 8x P/E for low-growth consumer electronics PCB (in-line with industry downcycle average valuation), and maintain our valuation period at 4Q26-3Q27, factoring in our earnings revision.

Exhibit 3: P&L table

NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E	2029E
Revenue	40,728	48,431	64,625	83,316	76,076	84,744	103,323	118,743	111,675	129,779	159,122	188,976	182,522	237,099	382,886	589,552	824,114
Gross profit	8,812	11,186	17,913	24,935	22,776	26,959	34,982	41,897	44,095	53,643	67,978	82,748	36,136	62,846	126,613	248,464	381,332
Operating expense	(6,308)	(7,425)	(9,196)	(11,706)	(10,482)	(11,974)	(13,875)	(15,590)	(14,104)	(16,130)	(19,459)	(23,677)	(22,205)	(34,635)	(51,921)	(73,370)	(99,251)
Operating income	2,503	3,761	8,717	13,230	12,294	14,985	21,106	26,307	29,992	37,513	48,519	59,071	13,932	28,211	74,692	175,094	282,082
Pretax income	2,400	4,931	8,025	14,230	12,694	15,335	21,156	26,807	30,042	37,563	48,569	59,371	14,063	29,587	75,992	175,544	282,732
Taxes expense	(353)	(1,204)	(1,110)	(2,134)	(2,158)	(2,607)	(3,173)	(4,021)	(5,107)	(6,386)	(7,285)	(8,906)	(3,458)	(4,802)	(11,959)	(27,684)	(44,835)
Net income	1,426	2,392	4,496	8,538	7,553	9,017	12,694	16,084	17,875	22,087	29,141	35,622	6,791	16,851	45,348	104,726	168,581
EPS, NT$	**1.33**	**2.19**	**4.02**	**7.63**	**6.75**	**8.06**	**11.35**	**14.38**	**15.98**	**19.75**	**26.06**	**31.85**	**6.91**	**15.18**	**40.55**	**93.64**	**150.73**
Ratio analysis and assumption																	
As % of sales																	
Gross margin	21.6%	23.1%	27.7%	29.9%	29.9%	31.8%	33.9%	35.3%	39.5%	41.3%	42.7%	43.8%	19.8%	26.5%	33.1%	42.1%	46.3%
Operating expense ratio	15.5%	15.3%	14.2%	14.0%	13.8%	14.1%	13.4%	13.1%	12.6%	12.4%	12.2%	12.5%	12.2%	14.6%	13.6%	12.4%	12.0%
Operating margin	6.1%	7.8%	13.5%	15.9%	16.2%	17.7%	20.4%	22.2%	26.9%	28.9%	30.5%	31.3%	7.6%	11.9%	19.5%	29.7%	34.2%
Net margin	3.5%	4.9%	7.0%	10.2%	9.9%	10.6%	12.3%	13.5%	16.0%	17.0%	18.3%	18.9%	3.7%	7.1%	11.8%	17.8%	20.5%
QoQ growth (%)																	
Revenue	-28.4%	18.9%	33.4%	28.9%	-8.7%	11.4%	21.9%	14.9%	-6.0%	16.2%	22.6%	18.8%	-	-	-	-	-
Gross profit	-31.3%	26.9%	60.1%	39.2%	-8.7%	18.4%	29.8%	19.8%	5.2%	21.7%	26.7%	21.7%	-	-	-	-	-
Operating income	-57.7%	50.2%	131.8%	51.8%	-7.1%	21.9%	40.9%	24.6%	14.0%	25.1%	29.3%	21.7%	-	-	-	-	-
Net income	-54.9%	67.8%	88.0%	89.9%	-11.5%	19.4%	40.8%	26.7%	11.1%	23.6%	31.9%	22.2%	-	-	-	-	-
YoY growth (%)																	
Revenue	1.6%	26.8%	36.4%	46.5%	86.8%	75.0%	59.9%	42.5%	46.8%	53.1%	54.0%	59.1%	6%	30%	61%	54%	40%
Gross profit	49.7%	59.6%	72.1%	94.4%	158.5%	141.0%	95.3%	68.0%	93.6%	99.0%	94.3%	97.5%	11%	74%	101%	96%	53%
Operating income	137.1%	55.1%	92.4%	123.4%	391.1%	298.4%	142.1%	98.8%	144.0%	150.3%	129.9%	124.5%	20%	102%	165%	134%	61%
Net income	125.4%	295.3%	88.0%	170.1%	429.8%	277.0%	182.3%	88.4%	136.7%	144.9%	129.6%	121.5%	-26%	148%	169%	131%	61%

Source: Company data, Goldman Sachs Global Investment Research

Zhen Ding Technology (ZDT) is the global leading PCB supplier (top 1 in market share in sales) with 7-10% market share, and started its ABF substrate business from 2023 in Shenzhen, China, and has the highest ABF revenue exposure to the China market compared to all other ABF substrate suppliers. We believe ZDT will hold more than 40% ABF substrate market share in China by 2027E (up from 31% in 2024) and benefit the most from the strong and growing China ABF substrate market (53% 2025E-27E CAGR) due to the increasing in-sourcing ratio for the AI computing ASIC/GPU market in China. We also expect the increasing foldable smartphone penetration rate in the long term to drive ZDT's FPC TAM, and account for 50% of the company's total revenue in 2027E. We see further revenue upside potential from foldable phones. We are Buy rated mainly due to our positive view on the company's China ABF substrate business opportunity, which should not only drive ZDT's revenue growth, but also improve its OPM level in the long term. We see upside for the stock price considering the company's solid growth opportunity, and our TP implied P/E multiple is still lower than the company's past 10+ year P/E average, which we believe is fair considering the potential upside from China ABF substrate market and increasing foldable phone penetration rate.

Valuation: Our 12-month TP of NT$1,070 is based on a SOTP valuation methodology, including (1) 3.5x blended 2028E P/B for ABF & BT substrate, (2) 15x 2028E P/E for high-growth AI server/switch related PCB (in line with industry average), and (3) 8x 2028E P/E for low-growth consumer electronics PCB (in line with industry downcycle average valuation).

Key downside risks include: (1) weaker-than-expected iPhone demand or slower content upgrade, (2) delay in new substrate capacity or slower-than-expected yield rate ramp up progress, and (3) fiercer competition in China ABF market.

Disclosure Appendix

Reg AC

I, Chao Wang, hereby certify that all of the views expressed in this report accurately reflect my personal views about the subject company or companies and its or their securities. I also certify that no part of my compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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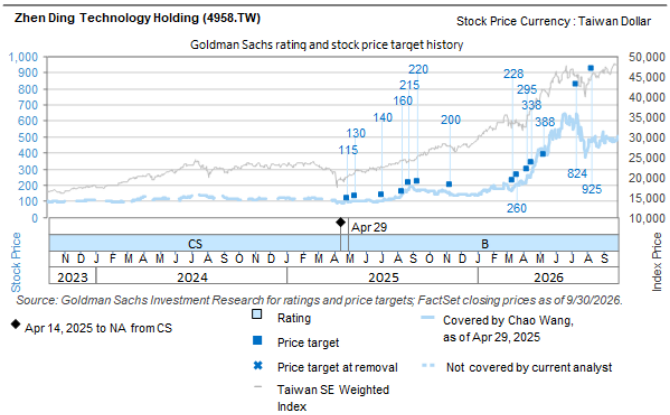
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Zhen Ding Technology Holding (4958.TW)

Date of report	Target price (NT$)	Closing price (NT$)
15-Oct-26	1,025.00	519.00
11-Aug-26	925.00	490.00
12-Jul-26	824.00	588.00
12-May-26	388.00	407.00
17-Apr-26	338.00	282.00
08-Apr-26	295.00	247.50
20-Mar-26	260.00	209.50
13-Mar-26	228.00	188.50
12-Nov-25	200.00	144.50
10-Sep-25	220.00	168.50
25-Aug-25	215.00	180.50
12-Aug-25	160.00	147.00
04-Jul-25	140.00	103.00
13-May-25	130.00	104.50
29-Apr-25	115.00	97.10

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